

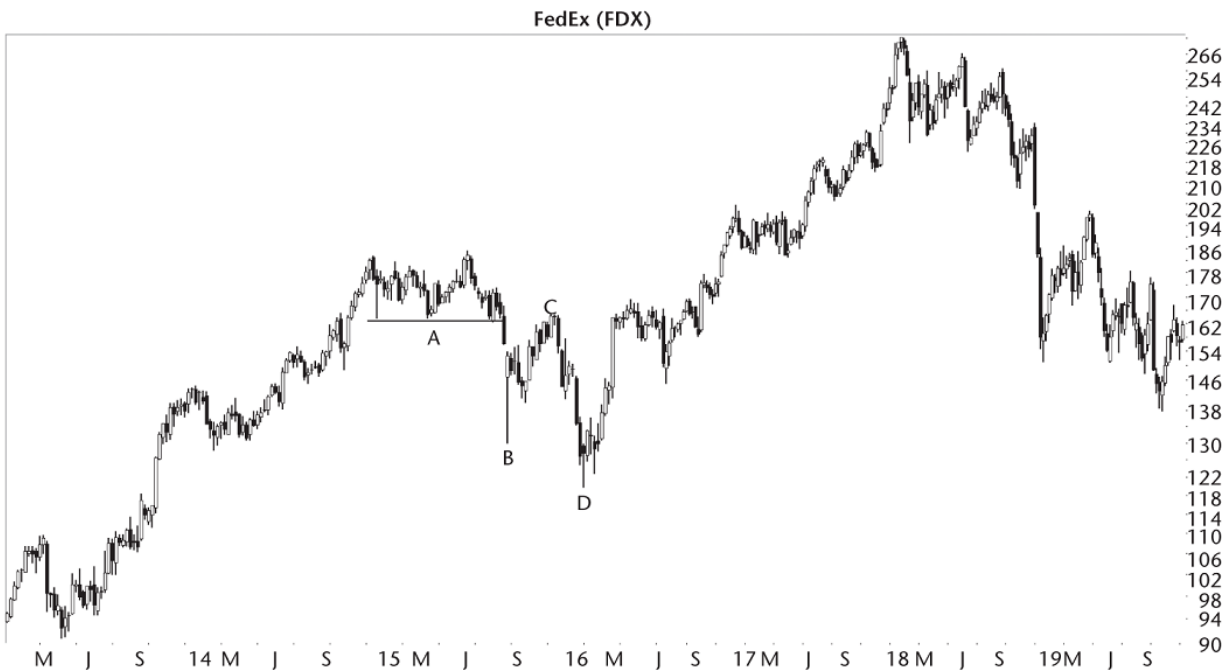


Figure 1.3 This diving board fails to act as expected.

As you look at the three charts, there are differences and there are similarities between them. What's important to performance? Is it the length of the pattern, how far price drops after the flat base, the industry the stock is a member of, or the time of year (seasonality or even bull/bear market)? By looking at a number of charts (and with the help of this book), you can answer those questions and become a more successful trader.

Daily Chart Setup

Figure 1.4 shows the same pattern in the advertising industry (which is suspicious because it's the same industry as [Figure 1.1](#)) but a different period (2018). The large breakaway gap up in early November (A) was because of third quarter results, which the market liked (hence the bullish gap). After that, price moved horizontally at B and made a strong push lower to C, followed by a headline-fetching rise up to G.

Along the way, earnings came out and helped momentum push the stock up (D and E). Near the top, earnings at F sent the stock lower, but only for a day. Perhaps the weak quarter was a warning of a coming trend change. At H, the market disliked earnings and seemed to confirm an end to the upward move, at least for a time.